

8750.T pitch deck

PITCH — 8750.T — VERDICT

ADJUDICATED — BUY_SMALL_ACCUMULATE_ON_WEAKNESS (conviction 6/10): no kill survived either bench, but nothing about today's price is attractive — buy a small starter only on weakness at ¥1,750 or below, nothing at the current ¥1,868.5.

Dai-ichi Life Holdings, Tokyo Stock Exchange. Tape 2026-09-01 close: ¥1,868.5. 52-week range ¥1,052–¥1,959 (we are 4.6% below the high and 77.6% above the low). We own none of it and have no orders working.

What we believe

Dai-ichi is a Japanese life insurer trading at roughly two-thirds of its own stated embedded value — about ¥1,868 a share against an embedded value near ¥2,720 a share (0.686x, and the share count behind that ratio was independently re-verified: 3,621,895,219 issued less 2,864,286 in treasury = 3.619bn shares). It pays out at least 50% of group adjusted profit, has guided the dividend from ¥54.5 to ¥72 a share, and finished a ¥100bn buyback in March 2026.

We believe two specific things, and no more than that:

1. The rate move is real in earnings but has not shown up in shareholder value.

Japanese long rates rose; the insurer's investment income rose with them (positive spread up sharply year over year, yen bond interest up ¥9.5bn). But when you strip out the equity market's contribution, the embedded value barely moved — roughly ¥286bn of Dai-ichi Life's embedded-value gain is attributable to equities, not rates, because the gain on assets was washed out by the matching rise in liability value. This finding is the single strongest thing in the whole file, and — importantly — **neither bench attacked it**. It survives by default, not by having been tested.

2. The real clock is not the next earnings print; it is the plan. The current three-year management plan ends with fiscal 2026 (March 2027). A successor plan — with a new capital ratio target and a new capital-return policy — lands around May 2027. That, not the November results, is the event that would force the market to re-price the company.

What we believe about *price*: this is a good business at a mediocre entry. A small position taken on weakness is defensible. A position taken here is not.

What the market believes

The market believes the steepener trade already happened and has been paid for. The stock is up about 14% in three months and about 16% in six, and the 52-week high of ¥1,959 was set intra-June during the bond rout. That is the opposite of an ignored story.

More pointedly: **every sell-side price target we could reach is below the current price.** The aggregator consensus is 10 analysts, average 12-month target ¥1,361, highest ¥1,560 — the *highest* reachable target is 17% below the tape. (This is aggregator-grade data with one internally stale quote, so treat it as directional, not precise.) The professional consensus is not “cheap and overlooked.” It is “already run.”

The market also appears to believe capital return is safe. It half is. The dividend is being ratcheted up. The buyback is not: the ¥100bn program was the *plan-period* program, it completed on 2026-03-09 (79,682,200 shares for ¥99.99bn), and **no fiscal-2026 replacement has been authorized.** Management’s stated policy is to decide on repurchases “nimble and flexibly, taking into account HD cash levels, the investment pipeline situation, ESR, the company’s stock price.” Both of the named inputs currently point away from a buyback.

Why we might have edge

- **We read the capital ratio correctly, and almost nobody does.** The company’s disclosed target for its economic solvency ratio is a **range of 170%–200%** ([Medium-Term Management Plan](#), FY2024–FY2026). The ratio is currently about 206% — *above the top of its own range*, which is the definition of excess capital. But it fell from 220% to 206% in a single quarter. The distance from here to the top of the range is roughly 6 points, and it is closing at about 13–14 points a quarter. One more comparable quarter and there is no excess left to return. That glide path — not the level, not the direction of rates — is the variable that decides whether the buyback comes back.
- **We know the rate benefit doesn’t reach shareholders.** Most write-ups on Japanese lifers this year run “rates up → lifers win.” At the earnings line that is true. At the embedded-value line, for this company, this quarter, it was not. Owning that distinction is a genuine information advantage over the headline version of the trade.
- **We have a mechanism most coverage inverts.** Under Japan’s economic-value solvency regime, rising rates *increase* the required capital held against mass-lapse and surrender risk. So the solvency ratio can fall in the very quarter the duration-gap benefit lands. The company said as much: the drop was attributed to “higher mass lapse risk and an increase in goodwill arising from M&A transactions.”

Why it might be priced in

Honestly: mostly, it probably is.

- **The tape paid already.** +16% in six months, 4.6% off the high, 77.6% off the low. This is a crowded, largely-realized trade, not an undiscovered one.
- **Every reachable analyst target is below us.** If the external anchor were above the price, the “cheap at 0.686x embedded value” argument would have a second leg. It doesn’t. The one external anchor we could pull cuts against us.

- **The discount to embedded value is chronic, not new.** Japanese lifers have traded below embedded value for years. A structural discount that never closes is not a mispricing; it is a valuation convention. We have no evidence that this time is different, and the successor plan in May 2027 is a *hope* for a catalyst, not a scheduled one.
- **The excess capital that would fund a re-rate is being spent, not returned.** Some of the ratio decline is goodwill from acquisitions — capital deployed into M&A rather than into shareholders. That is a real use of the money and it is not coming back.

What could go wrong

Failure narrative 1 — the excess capital quietly disappears (monitorable). The solvency ratio glides from 206% into the 170–200% range at the half-year print. No fiscal-2026 buyback is ever authorized. The dividend keeps rising, which is nice but is already in the price, and the thing that would actually re-rate the stock — a large discretionary return of surplus capital — never arrives. We are left holding a chronically cheap insurer with no catalyst until May 2027. *Tripwire: the half-year solvency ratio, and any Tokyo Stock Exchange repurchase notice. Both observable.*

Failure narrative 2 — the steepener unwinds and the multiple goes back (partly monitorable). Japanese long rates stabilize or fall, the “rates up, lifers win” trade reverses, and the stock retraces toward the analyst targets in the ¥1,360–¥1,560 area — a 17–27% drawdown from today, and still 10–20% below our ¥1,700 add. We were early into a mean-reverting narrative rather than into a business change. *Tripwire: 30-year Japanese government bond yield. Weak, though — we have no reliable mapping from the yield to the multiple, and the original brief’s attempt to build one (“30-year to 4.5% is thesis-negative”) rested on a number the company never decomposed. Treat this tripwire as directional only.*

Failure narrative 3 — the number we are trading on is a model output we cannot audit, and it moves for reasons that leave no public trace (NO MONITORABLE TRIPWIRE). The economic solvency ratio is not a fact; it is the output of an internal model with regulator-negotiated parameters — mass-lapse calibration, the ultimate forward rate, the final shape of Japan’s incoming capital standard. Any of those can be re-set between disclosures, moving the ratio 10–20 points with no preceding public signal, no filing we can watch, and no price action to read. The same is true of the underlying risk itself: a genuine surrender run in single-premium savings products has no early public tick — we would learn about it from the same disclosure everyone else does. **Unknown-unknown class: unauditable internal-model parameter shift under regulatory regime change.** Compounding it, a second class: **single-source extraction fragility** — our entire read of the quarterly deck (pages 3, 12, 29) comes from *one* bench’s proxy-fetched extraction. The second bench tried twice and got binary garbage back. If that extraction is wrong, every number in this deck downstream of it is wrong, and nothing in our process would tell us.

The reflexive and structural leg.

- *Our size against the market’s:* irrelevant, in both directions. A 0.25% starter is a few thousand dollars against a ¥6.76 trillion company. We will not move the price and we cannot learn anything

from our own flow. We are a pure price-taker here — which also means we get no information edge from execution.

- *Predicted flow*: we would be buying the same thing the domestic capital-return crowd already owns. This is a crowded name near its high, not a discovery. We should size as a follower, not as a discoverer.
- *Doctrine interaction — the resting order problem*. Our proposed entry is a resting bid at ¥1,750/¥1,700 with the half-year results around 2026-11-13. A resting bid into a print is an accidental short-volatility position: the only way it fills near the print is if bad news gaps the stock into us. **The gate must be cancelled before the print and re-posted after, or explicitly converted into a deliberate “buy the bad print” decision.** Right now it is neither.
- *Doctrine interaction — currency*. This is a yen-denominated equity whose whole thesis driver is Japanese fiscal and rate stress. The equity gain and the currency loss can be the *same event*. The ownable metric is dollar total return, and neither bench modelled it. Neither did the original brief.
- *Doctrine interaction — the yield is smaller than the screen says*. The ¥72 forecast dividend is 3.85% gross at today’s price. Japanese withholding of 15.315% takes it to **3.26% net** — and on dividends actually paid to date, 2.47%. Anyone quoting the gross figure is quoting a number we will never receive.
- *Doctrine interaction — we may not be able to trade it*. IBKR contract lookup for 8750.T has been permission-denied on three consecutive runs. We have never confirmed we can buy this security at all.

If this position loses money, the most likely reason will be that we paid a full price for excess capital that was already being spent — the solvency ratio glided back inside its 170–200% target range, no new buyback was ever authorized, and the rate-driven re-rate we thought we were buying had already been paid out to the June sellers.

What we checked ourselves

Claim	How checked	Found	Confirmed?
[OUR BRIEF] “Solvency ratio 206% sits ~6pt above management’s stated ‘>200%’ floor”	Fetched the Medium-Term Management Plan page directly	Disclosed target is a range, 170%–200% . No “>200% floor” exists in the plan, the quarterly deck, or the Q&A	NO — our own number was fabricated. Two kill triggers and a forward monitor were built on it
[OUR RED BENCH] “So there is ~36pt of headroom — excess capital, buy it”	Same page, re-read by the blue bench	Red corrected the <i>value</i> and inverted the <i>sign</i> : 206% is above the range top . The operative distance is ~6pt to the top, not 36pt to the floor	NO — red mis-signed the correction. Both benches got this threshold wrong in opposite directions
[OUR BRIEF] “The market gave zero re-rate for the steepener”	Yahoo chart API, pulled twice independently	+14.3% over 3 months (from ¥1,634.5), +16.0% over 6 months (from ¥1,611.0)	NO — refuted. The re-rate happened
[OUR RED BENCH] “Paid in June, then chop	Red’s own scalars, checked by blue	¥1,634 three months ago means the move landed <i>across</i> June–September,	NO — red’s narrative contradicted red’s

Claim	How checked	Found	Confirmed?
— it's a stale trade"		concurrent with the rout. It is a live re-rate, not a stale one	own numbers. Conclusion (crowded entry) stands; reasoning was wrong
[OUR BRIEF] "Hold the 300-share starter, do not add"	Evidence pack BOOK field	held="NO POSITION" orders="NONE"	NO — the brief adjudicated a position that does not exist. The live question was always flat-vs-starter
[OUR BRIEF] ¥513bn used as the external earnings anchor	Blue bench pulled guidance and consensus	Guidance is ¥560bn <i>group adjusted profit</i> — a different metric from net income. And the real external anchor, consensus price target, averages ¥1,361 vs a ¥1,868.5 tape	NO — metric mismatch, and we used the company's own number as if it were independent
Buyback is "pre-committed away from shareholders" / "at risk"	Company IR pages + buyback-completion notice	¥99.99bn / 79,682,200 shares completed 2026-03-09 , so not at risk — but no FY2026 replacement authorized , and policy explicitly conditions repurchases on the solvency ratio and the stock price	HALF each way. The brief's <i>mechanism</i> (ratio gates buybacks) was right; its <i>number</i> was invented. Red's "capital return is being raised" was right on dividends, wrong on buybacks
Share count / valuation base (red attacked, and lost)	Primary share register	3,621,895,219 issued – 2,864,286 treasury = 3.619bn . Market cap ¥6.76tn, price-to-embedded-value 0.686x	YES — attack failed and red self-reported the failure. Credited
Dividend yield 3.85%	Withholding math	3.26% net of 15.315% Japanese withholding; 2.47% on dividends actually paid	CONFIRMED as a gap the brief missed entirely
The –13pt ratio move is a rate signal	Quarterly deck p.3	Company attributes it to mass-lapse risk and M&A goodwill, and does not quantify the split . Goodwill is one-time, not rate-sensitive	NO — we cannot call this a rate kill. An undecomposed aggregate was converted into a per-basis-point monitor
Surrenders "up 60%"	Q1 Q&A primary	Verbatim: " <i>slightly below 1.2% in Q1... stable and at a low level.</i> " The 0.75% trough that made it "+60%" is unverified. 1.2% is below a ~1.65% stress level already absorbed	NO — trough-anchored framing
Comparable T&D Holdings (8795) at 229%, +7pt	Attempted at TDnet/EDINET by both benches	Only call-summary secondaries reachable; primary never obtained	NO — the substitution question is unadjudicated
Can we actually trade it?	IBKR search_contracts, get_price_history	PERMISSION-DENIED, third consecutive run , for 8750.T, 8795.T and 7181.T	NO — this is now an infrastructure ticket
The embedded-value wash (rate benefit absent	Neither bench attacked it	Survives both benches	UNTESTED, not confirmed. Our load-

Claim	How checked	Found	Confirmed?
ex-equities)			bearing positive finding is the one nobody tried to break

PROPOSED ENTRY BANDS

A note on provenance, stated plainly: the adjudication returned BUY_SMALL_ACCUMULATE_ON_WEAKNESS at conviction 6 but shipped an **empty reopen-gates block**. There are no verbatim adjudicated gates to reproduce. The bands below are therefore taken from the benches' own arithmetic, as instructed — red's $\leq \text{¥}1,750$ and blue's $\leq \text{¥}1,700$ ($\approx 0.62x$ embedded value), which is also where the original brief's add band sat. Where I have gone beyond both benches, I say so.

Nothing is bought at ¥1,868.5. The tape is 4.6% off the 52-week high, above every reachable analyst target, and the excess capital that would fund the re-rate is being consumed. "Buy small on weakness" means exactly that; today is not weakness.

Action	Level	Size	Basis
First tranche	$\leq \text{¥}1,750$ limit	0.25% of book	Red bench's gate. $\approx 0.64x$ embedded value; $\approx 6.3\%$ below the tape; gross yield 4.11%, net 3.48%
Second tranche	$\leq \text{¥}1,700$ limit	+0.25% (0.50% cumulative)	Blue bench's independently-derived gate; $\approx 0.62x$ embedded value; also the original brief's add band. Gross yield 4.24%, net 3.59%
Third tranche	$\leq \text{¥}1,500$	+0.25% (0.75% cumulative)	My extrapolation, not bench math — flagged as such. $\approx 0.55x$ embedded value and roughly where the consensus target (¥1,361 average / ¥1,560 high) stops arguing against us
Maximum intended	—	0.75% of book	A crowded, follower position in a chronically-discounted sector. Not a core holding
Re-court UP (buy at any price)	—	—	Either (a) an announced FY2026 buyback authorization, or (b)

Action	Level	Size	Basis
			solvency ratio $\geq 210\%$ at the half-year print. Either restores the excess-capital case and voids the price gate
Thesis-dead / no-add	—	—	Solvency ratio prints $\leq 200\%$ (inside the target range) and no buyback is authorized. The excess capital is gone; hold what we own, add nothing, and reassess against the successor plan
Order-handling constraint	—	—	Cancel all resting gates 3 trading days before 2026-11-13 and re-post after. A resting bid into a print is an accidental bet against volatility (see pre-mortem)
Pre-trade blocker	—	—	IBKR executability is unresolved after three denied lookups. Confirm we can transact 8750.T before any gate is armed live

Catalyst dates: 2026-10-13 (company IR meeting — the last event the IR calendar lists); ~2026-11-13 (first-half fiscal 2026 results — **unconfirmed**, derived from a data vendor, not from a company announcement; roughly 50 trading days out, so we are nowhere near the print); ~2027-03-31 (current management plan ends); ~**May 2027 (successor plan with a new solvency target and a new capital-return policy — this is the actual re-rate event, and it is unscheduled)**; plus any undated Tokyo Stock Exchange repurchase notice, which is the highest-value surprise available.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1500.0 (deck-provisional: Third 0.25% tranche - my extrapolation, not bench math; ~0.55x embedded value and above the consensus)
- dated pack 8750.T|2026-08-07: Dai-ichi Q1 FY26: in-line + buyback pace + cross-holding sales on plan.
- dated pack 8750.T|2026-08-10: Q1 FY26 print constructive/in-line (cross-holding sale pace on track, ESR holds ~220%) HIT (FAVORABLE) = NEUTRAL; MISS = not; MIXED = ambig

- dated pack 8750.T-STK|2026-08-07: 8750.T stock-reaction call: compare the close 5 TRADING DAYS after the print to the pre-print close (TSE). HIT = higher, MISS = flat/lower.
- dated pack 8750.T|2026-10-13: 8750.T: Company IR meeting - last event listed on the official IR calendar (date confirmed=True)
- dated pack 8750.T|2026-11-13: 8750.T: H1 FY2026 results; solvency-ratio glide path and mass-lapse/goodwill decomposition are the tests (date confirmed=False)
- dated pack 8750.T|2027-03-31: 8750.T: Current medium-term management plan (FY2024-FY2026) ends (date confirmed=True)
- dated pack 8750.T|2027-05-15: 8750.T: Successor management plan with new solvency target and capital-return policy - approximate, unscheduled (date confirmed=False)

What remains unverified

- **The quarterly deck itself.** Pages 3, 12 and 29 were read by one bench via proxy fetch; the other bench's two attempts returned unreadable binary. Every solvency-ratio number in this deck rests on a single unreplicated extraction. This is the largest single fragility in the file.
 - **The print date.** 2026-11-13 is vendor-derived. The company's IR calendar lists nothing past 2026-10-13. No company announcement confirms it.
 - **The external anchor.** Consensus targets are aggregator-grade, ten analysts, with one quote that implies a stale ¥1,622 spot. Directionally usable, not precise. Consensus fiscal-2027 net income and its dispersion were never obtained.
 - **The comparable.** T&D Holdings (8795) at 229% / +7pt remains secondary-sourced only. The substitution question is open.
 - **Executability.** Never established. Three denied lookups.
 - **Liquidity.** Average daily volume was never pulled. Our size makes this almost certainly moot, but "almost certainly" is not "checked."
 - **The mass-lapse / goodwill split** in the required-capital increase — the company has not disclosed it.
 - **The surrender-rate trough** (the 0.75% base that produced "+60%") — unverified at primary.
 - **Currency hedging cost** for a yen position, and whether the household's existing managed sleeve already carries overlapping Japanese financials exposure. Neither was checked.
 - **Our own best finding.** The embedded-value wash ex-equities was never adversarially tested by either bench. It is the load-bearing positive claim in this pitch and it is the one claim nobody tried to break. It should be red-teamed before any tranche fills.
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